
Conflict of Interest Management Plan

Brigham Young University

Department of Mechanical Engineering, Ira A. Fulton College of Engineering

FACULTY MEMBER	[Sterling G. Baird], Assistant Professor, Mechanical Engineering (the “Faculty Member”)
COMPANY	[NewCo, Inc.], a [Delaware corporation] commercializing automated (“cloud lab”) materials-experimentation technology (the “Company”)
GOVERNING POLICIES	Conflict of Time or Interest ; Financial Conflict of Interest in Research ; Intellectual Property ; Financial Disclosure Form and Instructions ; Sponsored Projects Handbook ; Recharge Center Policy
EFFECTIVE DATE	[date]
REVIEW	annual, with the Faculty Profile outside-activity disclosure
COMPANION	a separate briefing carries the approval sequence and the reasoning behind these conditions; it is not part of this plan

A. Role and principal duties of the conflicted investigator

1. The relationship and its limits

- 1.1 The Faculty Member co-founded the Company, holds **more than ten percent** of it (currently [•]%, counting stock, options, rights to acquire stock, and immediate family interests), and remains on a full-time faculty appointment, not on leave.
- 1.2 **Advisory roles only.** The only Company roles are stockholder and **[Chief Scientific Advisor]**: advisory, with no officer title, no employment relationship, no board vote, and no authority over Company staff.¹
- 1.3 **No pay from the Company:** no salary, consulting fees, bonuses, honoraria, or other compensation. Stock is the only financial interest.²
- 1.4 **Travel is reimbursed at cost, and reported.** The Company may reimburse the Faculty Member’s documented airfare, lodging, and meals for a trip whose purpose is Company business: actual cost, the Faculty Member alone, no per diem above cost, nothing else of more than nominal value. Those days count against the four-day allowance (2.1); no trip is paid twice, and university business, including conference travel to present BYU research, stays on BYU funds; and each reimbursed trip is reported on the [annual financial disclosure](#) by sponsor, purpose, dates, and destination, which is what that form asks for.
- 1.5 **The inventor’s royalty share is forfeited.** At ten percent or more the Faculty Member is a “principal equity owner” and gives up the inventor’s 45% share of BYU’s licensing income from the Company, with the matched research-account option. Policy provides no exception.³

¹[Sponsored Projects Handbook](#): “Faculty members not on leave are not to be line officers in outside companies.” Also [Conflict of Time or Interest Policy](#).

²[Intellectual Property Policy](#): a faculty member may consult for a company or take part in research it sponsors, not both. Exceptions need chair, dean, and the written approval of the Associate Academic Vice President for Research (“the AAVP”).

³[Intellectual Property Policy](#): “a principal equity owner is one who controls ten percent or more equity in the company,” and such a developer “will forfeit his or her distribution.”

- 1.6 No voting board seat**, and no observer seat unless the written authorization of the outside role describes and authorizes one before it is taken.⁴
- 1.7 Neither role speaks for the other.** The Faculty Member does not represent BYU in any Company matter or the Company in any BYU matter, and commits neither to anything. The Company does not use BYU's name, logo, or facilities in its advertising or investor materials.⁵

B. Conditions of the plan

2. Time, teaching, and availability to students

- 2.1** All Company activity fits inside BYU's outside-activity allowance: **at most four days a month** across every outside activity combined, with the chair's prior written approval.⁶ The Faculty Member logs days spent and gives the log to the chair with the annual disclosure.
- 2.2 Teaching and students come first.** Classes, class preparation, and office hours are held as scheduled, and student and research-group meetings go on the calendar before Company commitments. Company time taken during a workday is made up on evenings or weekends that same week.⁷
- 2.3** The chair reviews the log at annual review against the policy's standard (availability to students; teaching, scholarship, and citizenship performance) and may require Company time to be reduced.

3. Contracts: who negotiates and who signs

- 3.1** The Faculty Member takes **no part in negotiating, approving, or influencing any agreement between BYU and the Company, on either side of the table:** the license, every research agreement, every equipment placement, and any gift. The Company is represented by a non-founder officer ([name/title]); BYU by the Research Administration Office, the Technology Transfer Office, or the Office of General Counsel.⁸
- 3.2** The Faculty Member does not advocate for any such deal or its terms with the chair, dean, Research Administration Office, Technology Transfer Office, or the AAVP, directly or through colleagues.
- 3.3 Still permitted**, all ordinary faculty duties: naming the Company to the Technology Transfer Office as a potential licensee; technical input on scope of work through the Research Administration Office's designated contact; serving as named technical contact once an agreement is signed; and signing the inventor's acknowledgment of a license or a royalty Distribution Agreement.⁹
- 3.4 If the Company sells to BYU**, the sale happens only after the Faculty Member is approved as an employee-vendor by Purchasing & Travel, Compensation, and Regulatory Accounting, and the Faculty Member takes no part in the purchasing decision. An employee whose access

⁴A voting seat is allowed only where the company "has not raised more than \$3,000,000," and then only "on rare occasions" with the dean, the AAVP, and the Technology Transfer Office approving in writing ([Intellectual Property Policy](#)). The Company is past that ceiling, and policy does not address observer seats at all.

⁵[Intellectual Property Policy](#): "The name of the university shall not be used... in any advertising."

⁶[Conflict of Time or Interest Policy](#): "up to four days per month."

⁷[Conflict of Time or Interest Policy](#), compensating-time expectation.

⁸[Conflict of Time or Interest Policy](#) lists as unmanageable "negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party for the benefit of the employee or a Related Party."

⁹Technology Transfer Office, "[Working with the Technology Transfer Office](#)."

to non-public BYU information would give their company an unfair advantage may not do business with the university at all.¹⁰

4. Company-sponsored research and cost recovery

- 4.1** Any Company use of lab personnel, students, or facilities runs under a written agreement selected and signed by the authorized university office: a **sponsored research agreement** for research work (the default, at BYU's standard terms, with no lasting restrictions on publication), a cost-recovery account for instrument time (4.4), or an equipment agreement (6.4). No Company work happens in the lab outside a signed scope of work. Only faculty on regular appointments and certain research faculty may be principal investigators, so that responsibility cannot be delegated to students, postdoctoral fellows, or staff.¹¹
- 4.2 Independent review of the science.** A senior faculty member with no Company interest, designated by the dean ([•]), reviews each Company-sponsored project before work begins and at least annually after: funding, student roles, publication freedom, and the separation of Company from university work. The reviewer reports to the chair and the AAVP, and the chair may pause affected work while a concern is open.
- 4.3** Publications and presentations from Company-sponsored or license-related work disclose the Faculty Member's Company interest, and BYU's stock position where BYU holds one. If BYU accepts Company stock, the university's own interest is reviewed by the AAVP with the Office of General Counsel, separately from this plan.
- 4.4 Cost recovery.** Sales of instrument time outside a research agreement run only through a cost-recovery account approved by the chair, dean, and Regulatory Accounting, with outside users billed at the external rate including overhead and the tax treatment settled before billing starts.¹² That revenue is budgeted to student wages, equipment, and student travel. None of it funds the Faculty Member's salary, summer salary, or travel.

5. Students

- 5.1 Notice and an independent advocate.** Every lab member receives written notice of the Faculty Member's Company interest, and BYU's if BYU holds stock, on joining and annually after, with a copy to the chair. The graduate coordinator or associate chair, who has no Company interest, meets the students at least once a semester without the Faculty Member present, and students may go to them, the chair, or the dean's office at any time.
- 5.2 Participation is voluntary, and academic timelines govern.** A comparable non-Company project, funding source, and supervisor are available without penalty; retaliation is prohibited; and the choice never affects grades, authorship, funding, or letters. Company tasks exist only inside a signed scope of work, never as part of a BYU role. Thesis topics, timelines, and publication schedules are set on academic grounds; no thesis is embargoed and no defense placed under a confidentiality agreement. Where a patent filing has to come first, the lab files a provisional application before the defense.
- 5.3 Hours and double employment.** University employment respects BYU's caps: 20 hours a week in fall and winter semesters, with stricter limits for international students, whose visa status

¹⁰Employee-Vendor Policy, in the sign-in policy library at policy.byu.edu.

¹¹**Intellectual Property Policy:** such work "must be administered as sponsored research projects when there is a substantial use of university resources or when BYU students are employed." [Sponsored Projects Handbook](#) for the principal-investigator rule.

¹²**Recharge Center Policy and Procedures.** The published copy is dated 2005 and sits outside the university policy library; nothing in this clause is settled until Regulatory Accounting confirms which document governs.

can be at stake.¹³ A student working for BYU and the Company at once on related subject matter must disclose it, and the advocate reviews the student's combined load each semester.

5.4 Company jobs and internships. A student who wants to work for the Company is referred to the advocate and the dean's office for advice independent of the Faculty Member, and the advocate reviews the offer's terms (duties, hours, pay, invention-assignment and confidentiality obligations, visa implications) before it is accepted.¹⁴ The Faculty Member does not supervise the same student's thesis and Company work; a Company internship taken for credit is arranged and graded by someone else. Any offer to a currently supervised student requires an amendment first (section 10).

6. Company people and university resources

6.1 No university resources for Company work. "University Employees may not use university resources, facilities, or work time to engage in commercial activities, businesses, or 'start-up' companies."¹⁵ All Company work runs on Company-owned laptops, accounts, software, and storage, and on campus Company devices use their own cellular connection rather than BYU networks. No Company data on BYU systems, and no non-public BYU information on Company systems.

6.2 Campus office. Company use of the campus office is limited to occasional calls and correspondence on Company devices: no Company work performed there, and no Company records, operations, meetings, or visitors. Written approval is requested from the **dean and the AAVP** with the authorization of the outside role, and until it is granted there is no Company use of the office at all.¹⁶

6.3 Company personnel. Everyone working in the lab signs BYU's standard participation and invention-assignment agreement. Company employees never work in the lab informally or as "volunteers."¹⁷ They come on campus only under a written agreement, whether a visiting appointment, the sponsored agreement, or a services contract, signed at the tier its value and term require. Both sides acknowledge beforehand that work done in the lab by a non-employee under faculty supervision can give BYU a perpetual royalty-free license in the result.¹⁸

6.4 Equipment placements. Company equipment enters the lab only under a university-signed agreement, an equipment loan or a term of the research agreement, settling ownership, insurance, maintenance, access, export-control screening, and removal before delivery. The Faculty Member signs nothing. Students use placed equipment for university research or within the sponsored agreement, and it is reported as outside support on federal applications.

¹³Student Hiring and Employment Policy, and [Conflict of Time or Interest Policy](#) for the student disclosure trigger.

¹⁴[Stanford's Best Practices for Faculty Start-Ups](#) recommends the same step. BYU's internship rules bar credit under a family member's supervision but are silent on a faculty advisor's own company.

¹⁵[Intellectual Property Policy](#). Using BYU networks for outside commercial purposes requires written authorization from the responsible vice president and the chief information officer.

¹⁶[Conflict of Time or Interest Policy](#) permits "Incidental Use" that is "occasional or infrequent" and "results in little or no cost to the university." The Expectations of a Faculty Appointment Policy requires "the explicit written approval of the appropriate university supervisors" to "use his or her campus office for business purposes." The 6.1 prohibition carries no chair-level waiver, so a chair's signature alone does not clear it.

¹⁷Volunteer Policy: service must be "in furtherance of the university's nonprofit objectives," "unpaid service in furtherance of the university's commercial activities" is prohibited to comply with federal law, and volunteers "cannot, even on a temporary basis, displace employed workers."

¹⁸[Intellectual Property Policy](#): where such a person works "under the supervision and direction of a faculty member" or "uses substantial university resources," BYU may claim "a non-exclusive, perpetual, royalty-free, paid-up, irrevocable license to exploit, use, and sublicense the resulting Intellectual Property."

7. Inventions and open-source release

- 7.1 Disclose first, release second.** The lab releases its outputs as open-source software and hardware by default, but new inventions go to the Technology Transfer Office *before* anything is made public, including a code repository, preprint, conference talk, or thesis.¹⁹ Release proceeds once the office files a provisional application or releases the rights. Review is bounded: normally 30 days, with up to 60 more only when a patent filing is under way, and it never delays a defense, deposit, or graduation.
- 7.2 Open-source boundaries are set in advance,** in the lab’s published open-science policy and the Company’s published licensing policy, both adopted outside any BYU negotiation. BYU’s ownership and approval rights still govern every release.
- 7.3 A clean line between BYU’s inventions and the Company’s.** Both keep records of where, when, and with what resources each invention was made. Because BYU’s claim reaches inventions “related to the current or demonstrably anticipated business, research, or development of the university,” records alone do not settle ownership: a Company-side invention near the lab’s field is disclosed and the university’s ownership decision obtained in writing.²⁰
- 7.4 Company assignment documents.** No Company invention-assignment or prior-inventions agreement is signed by the Faculty Member or any lab member without an express carve-out for BYU-owned and BYU-assignable work. That form goes to every employee and intern, not only to founders.

C. How these conditions safeguard objectivity

8. Why these conditions are enough

WHAT COULD BIAS A DECISION	WHAT REMOVES IT
Influence over a BYU and Company deal	Total recusal on both sides (3.1, 3.2). Above ten percent, policy treats influencing such negotiations as unmanageable, so the recusal is not a judgment call.
Payment tied to Company outcomes	No salary, fees, bonuses, or honoraria (1.3); a forfeited royalty share (1.5); travel reimbursed at cost, counted against the four-day allowance and reported trip by trip (1.4). What remains is unsellable private stock, which no single favorable term turns into money.
Research shaped, suppressed, or delayed	Independent review before work begins and annually after, and the chair may pause the work (4.2). No embargo and no confidentiality on a defense (5.2), bounded invention review that never delays graduation (7.1), and disclosure on every publication (4.3).
Pressure on students	Real alternatives and no retaliation (5.2), an advocate outside the lab who meets students alone (5.1), and independent review of any Company offer (5.4).
The two roles merging	Company work on Company systems (6.1), personnel and equipment in the lab only under signed agreements (6.3, 6.4), Company promises signed by a Company officer (9.3).

¹⁹Public release first can permanently destroy foreign patent rights. [Intellectual Property Policy](#); Technology Transfer Office, “Preparing a Patent Application.”

²⁰[Intellectual Property Policy](#). This plan cannot promise that a release or carve-out will be granted.

D. How compliance is monitored

9. Reporting, review, and remedies

WHAT	WHEN	TO WHOM
Outside-activity disclosure in Faculty Profile , time log (2.1), advocate's student review (5.1), and independent reviewer's report (4.2)	annually	chair, and the AAVP for the reviewer's report
Financial disclosure, including Company travel (1.4)	annually, updated within 30 days	Research Administration Office
Company financing, ownership change, change of role or title, new proposed transaction with BYU, or contemplated leave	within 30 days	chair and Research Administration Office

9.1 The chair monitors compliance through completion of the affected projects, not only at annual review.²¹

9.2 The AAVP reviews this plan annually with the chair and dean and may strengthen it at any time using the tools policy names (an independent monitor, removal from a project, reduction or elimination of the interest), or end it in writing when the interests in section 1 no longer exist.

9.3 Commitments here about Company conduct are confirmed in a one-page acknowledgment signed by an authorized Company officer and attached: no use of BYU's name (1.7), no informal approaches to students (5.4, 6.3), and no Company personnel or equipment in the lab outside signed agreements (6.3, 6.4). Failure to follow this plan is handled under the governing policies, which provide for retrospective review.

E. The investigator's agreement

10. Changes that require amending this plan first

Any officer title, employment relationship, or voting board role at the Company; any leave of absence; any paid consulting for the Company, which collides with taking part in research it sponsors and needs chair, dean, and written AAVP approval (1.3); Company employment of a currently supervised student; the Company selling anything to BYU (3.4); any Company agreement asking the Faculty Member or a lab member to assign inventions or prior inventions (7.4); any research involving human subjects that touches the Company; and any change in the facts of section 1.

11. Approvals

APPROVER	WHAT THE SIGNATURE COVERS	SIGNATURE / DATE
[Sterling G. Baird], Faculty Member	agrees to be bound by this plan	_____
[•], Department Chair, Mechanical Engineering	authorizes the outside role; monitors compliance (9.1)	_____
[•], Dean, Ira A. Fulton College of Engineering	approves the outside-activity conflict plan	_____
[•], Associate Academic Vice President for Research & Graduate Studies	decides whether a conflict exists; approves the research conflict plan	_____

Routed for concurrence, not approval: the Research Administration Office, the Technology Transfer Office, Regulatory Accounting, and the Office of General Counsel. Their approvals attach to the transactions this plan governs, not to the plan itself.

²¹[Financial Conflict of Interest in Research Policy](#). The 30-day update of *financial* disclosures is required by that policy; the other 30-day triggers above are terms of this plan.